Fooled by Randomness -- Fill-in-the-Blank ANSWER KEY

25 Questions -- Grouped by Chapter -- Nassim Nicholas Taleb -- Answers in orange

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Prologue & Overview

1. Taleb's book argues that human beings systematically **underestimate the** the role of luck in producing successful outcomes.

2. The population of traders wiped out before we could observe them is called the '**cemetery / graveyard** of silent evidence.'

Ch. 1 -- Alternative Histories

3. Taleb's concept of **alternative histories** refers to the full set of plausible outcomes that could have unfolded, not just the one that did.

4. Checking a portfolio every 15 minutes rather than monthly dramatically increases exposure to **emotional noise**, not real market information.

Ch. 2 -- A Bizarre Accounting Method

5. Taleb uses **Russian roulette** as his central metaphor to show that surviving a dangerous gamble does not make the gamble wise.

6. Because we study only survivors, we overestimate the average **skill level** of traders and fund managers.

Ch. 3 -- Mathematical Meditation

7. Constructing a strategy by searching historical data until a profitable pattern appears is called **data mining**, and it almost always overfits.

8. Nero uses **Monte Carlo simulation** to stress-test portfolios against thousands of possible market histories.

Ch. 4 -- The Scientific Intellectual

9. Karl Popper's criterion requires that a scientific theory must be capable of being **proven false** by at least one conceivable observation.

10. The Latin fallacy 'post hoc ergo propter hoc' is the error of concluding that **temporal sequence** implies causation.

Ch. 5 -- Survival of the Least Fit

11. Given 10,000 coin-flipping managers, after five years roughly **313 managers** will have produced an unbroken winning streak by pure chance.

12. Taleb's monkey-typewriter metaphor demonstrates that **random variation** alone, operating over enough trials, can produce any pattern.

Ch. 6 -- Skewness and Asymmetry

13. Collecting many small premiums while remaining exposed to a rare catastrophic loss is likened to picking up **nickels / pennies** in front of a steamroller.

14. When the median outcome is positive but catastrophic losses exist, the **expected value** of the distribution can still be negative.

Ch. 7 -- Problem of Induction

15. The discovery of **black swans** in Australia in 1697 falsified the longstanding European assumption that all swans share the same colour.

16. Taleb's 'turkey problem' illustrates that a long run of confirming observations can be shattered by a single **disconfirming event** on day 1,000.

Ch. 8 -- Monkeys on Typewriters

17. A strategy optimised to fit historical data perfectly will almost certainly **underperform badly** when applied to out-of-sample data.

18. Taleb argues that even a **fifteen-year** track record cannot statistically distinguish genuine skill from lucky noise in financial markets.

Ch. 9 -- Nonlinear Things

19. Odysseus pre-committed to a rule by having himself **tied / lashed** to avoid acting on the Sirens' irresistible impulse.

20. Taleb's version of the Odysseus strategy is to set **hard stop-loss limits** before the market opens, removing in-the-moment discretion.

Ch. 10 -- Loser Takes All

21. The Matthew effect describes how tiny early advantages compound through **winner-take-all** dynamics until one player captures nearly all rewards.

Ch. 11 -- Probability Blind

22. Kahneman and Tversky's **prospect** theory shows that people weight losses approximately twice as heavily as equivalent gains.

23. The heuristic by which people judge probability through the ease with which a vivid example comes to mind is the **availability** heuristic.

Ch. 12 -- Gamblers' Ticks

24. Skinner's pigeons developed **superstitious rituals** because random food delivery caused them to associate accidental behaviours with reward.

Epilogue

25. Taleb argues that the only honest structural response to radical uncertainty is to build **robustness / antifragility** into strategies and portfolios.